

Question 1 of 12

Question ID: 1575117

A U.S. corporation issues a \$1 million floating-rate note (FRN) that pays interest equal to the three-month MRR plus 180 bps. The interest is paid on a quarterly basis. If the three-month MRR is -0.20% , the coupon interest payable on the corporation's FRN for the quarterly period is *closest* to:

☐ A) \$4,000.

☐ B) \$5,000.

☐ C) \$16,000.

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An institution is *most likely* to be restricted from investing in which of the following fixed income classifications?

☐ **A)** High yield.

☐ **B)** Index-linked.

☐ **C)** Floating-rate.

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Question ID: 1575119

In a repurchase agreement, the repo rate is likely to be higher:

- ☐ **A)** if delivery to the lender is required.
- ☐ **B)** when the quality of the collateral is high.
- ☐ **C)** for longer-dated repos.

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Annual-pay yields of annual-coupon sovereign bonds are as follows:

Maturity and Coupon	Yield to Maturity
1-year, 5% coupon	2.342%
1-year, 0% coupon	2.350%
2-year, 5% coupon	2.496%
2-year, 0% coupon	2.500%
3-year, 5% coupon	2.711%
3-year, 0% coupon	2.725%

The 3-year, 5% annual coupon bond is *most likely*:

☐ A) overvalued.

☐ B) undervalued.

☐ C) fairly valued.

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A bank loan department is trying to determine the correct rate for a 2-year loan to be made two years from now. If current implied Treasury effective annual spot rates are 1-year = 2%, 2-year = 3%, 3-year = 3.5%, and 4-year = 4.5%, the base (risk-free) forward rate for the loan before adding a risk premium is *closest* to:

☐ A) 4.5%.

☐ B) 6.0%.

☐ C) 9.0%.

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An investor in longer-term coupon bonds who has a short investment horizon is *most likely*:

- ☐ **A)** more concerned with market price risk than reinvestment risk.
- ☐ **B)** more concerned with reinvestment risk than market price risk.
- ☐ **C)** equally concerned about market price risk and reinvestment risk.

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Question ID: 1575123

Which of the following bonds would appreciate the *most* if the yield curve shifts down by 50 basis points at all maturities?

☐ **A)** 4-year 8%, 8% YTM.

☐ **B)** 5-year 8%, 7.5% YTM.

☐ **C)** 5-year 8.5%, 8% YTM.

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Question ID: 1575124

An estimate of the increase in an option-free bond's price, based only on its duration:

- ☐ **A)** will be too small.
- ☐ **B)** will be too large.
- ☐ **C)** may be either too small or too large.

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Question ID: 1575125

Suppose you are analyzing Gefährlich AG's unsecured debt. You estimate a loss given default (LGD) of 70% and a probability of default (POD) of 3%. You use this data to estimate the annual credit spread and then observe an actual credit spread of 150 bps per year. For assuming Gefährlich's credit risk, it would be *most accurate* to state that an investor is being:

☐ **A)** less-than-fairly compensated.

☐ **B)** fairly compensated.

☐ **C)** more-than-fairly compensated.

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Question ID: 1575126

Three companies in the same industry have exhibited the following average ratios over a 5-year period:

5-Year Averages	Alden	Barrow	Collison
Operating margin	13.3%	15.0%	20.7%
Debt/EBITDA	4.6×	0.9×	2.8×
EBIT/interest	3.6×	8.9×	5.7×
FFO/debt	12.5%	14.6%	11.5%
Debt/capital	60.8%	23.6%	29.6%

Based only on the information given, the company that *most likely* has the highest credit rating is:

☐ A) Alden.

☐ B) Barrow.

☐ C) Collison.

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Coyote Corporation has an issuer credit rating of AA, but its most recently issued bonds have an issue credit rating of AA-. This difference is *most likely* due to the newly issued bonds having:

- ☐ **A)** been issued as senior subordinated debt.
- ☐ **B)** been affected by restricted subsidiary status.
- ☐ **C)** additional covenants that protect the bondholders.

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Question ID: 1575128

Nonconforming mortgage loans may be securitized by:

- ☐ **A)** government-sponsored enterprises, but not by private companies.
- ☐ **B)** private companies, but not by government-sponsored enterprises.
- ☐ **C)** neither private companies nor government-sponsored enterprises.